



PHOTO BY **ARUN KUMAR**

collateral valuations is critical. Transparency post-assessment could restore stakeholder trust,” says Parakh (*See Box: Fixing the Broken System*).

There are broadly three key questions on investors’ minds regarding the bank, which reported a balance sheet of ₹5.5 lakh crore at the end of FY25 (up 53% since FY21). First, does the rot run deeper than what has come to light? Second, does the bank’s business model require a drastic overhaul? And, finally, isn’t it the board’s responsibility—since it remains in place—to act far more proactively than it currently is?

## HIDDEN LANDMINES

The incoming CEO will have the advantage of starting with a fresh slate, but the first big task will be to

## THE GREAT RESET

### THE TASK FOR THE NEW CEO

- 1 Scale up secured retail and MSME assets
- 2 Expand new businesses such as home loan, affluent banking, MSMEs, merchant acquisition
- 3 Drive retailisation of liabilities by increasing the share of retail deposits
- 4 Improve the share of low-cost CASA deposits
- 5 Broaden the corporate banking book
- 6 Leverage the microfinance subsidiary for rural expansion
- 7 Remain cautious on microfinance exposure
- 8 Bring in professionals with a proven record

### FIXING THE BROKEN SYSTEM

- Conduct independent stress tests of lending portfolio to uncover potential asset quality issues
- Conduct a ground-up assessment — by geography, channel, and borrower behaviour
- Publish segmental NPA break-up
- Identify and manage off-balance-sheet risks
- Address compliance gaps
- Proactively resolve legacy underwriting practices
- Ensure accurate and updated collateral valuations
- Strengthen the compliance and governance framework